

newcomers, such as Southwest Airlines, who had a much lower cost structure because they had not been exposed to years and years of a pricing umbrella, which encouraged inefficiency.

Two things happened that changed the investment outlook for airlines. First, with the exception of American Airlines, all the major carriers went through bankruptcy, which allowed them to restructure their costs. Second, the industry has been able to merge down to three major players: United, Delta, and American. Among the three, I think that United has the best route structure. United, along with its partners, controls approximately 50 percent of the flights from the U.S. to Asia and 40 percent of the flights to Europe. I believe that going forward, United can get their operating margin up to about 10 percent, which isn't that great, but it is fabulous for an airline. It would give United \$6 per share earning power. At the current price of \$20, earnings at that level would imply a P/E ratio of only 3.3. I am not willing to put a large multiple on United, but even a multiple of only 8 to 10 would imply that I have a chance of doubling to tripling my money in the stock.

Can you give me another trade example that illustrates how you pick stocks?

One thing I try to do is find oil companies whose price reflects only current production without accounting for ongoing exploration programs that have the potential to significantly increase future production. It is a way of essentially getting free optionality. For example, we are long Petrominerales, a Colombian oil and gas company that currently produces about 40,000 barrels per day. The optionality in the trade is that Petrominerales has 600,000 acres leased in the same region as their current producing wells, and they have a number of rigs drilling new wells there, but the market is not pricing in any of this potential additional production. The best time to enter this type of trade is after a disappointment. Petrominerales also has assets in Peru, and recently, one of its competitors drilled a dry hole in Peru, which caused all the oil companies in the region to sell off sharply. We used this price break as an opportunity to buy the stock.